

Digital Currencies – Concept

Learning Objectives

- Explain what digital currency is
- Understand why digital currencies emerged
- Differentiate digital currency from traditional money
- Understand basic working concepts

What is Money?

Money is used to:

- Buy things
 - Save value
 - Measure prices
 - Pay debts
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- Examples: Cash, Coins, Bank balance

Evolution of Money

- Barter system *"method of exchange where goods or services are directly traded for other goods or services without using money, relying on mutual needs"*
- Coins
- Paper money
- Bank money (ATM, cards)
- Digital currency

What is Digital Currency?

- Digital currency is money that exists only in electronic form.
- No physical notes or coins
- Stored and transferred digitally
- Uses internet and computers

“You cannot put it in your pocket, but you can put it in your phone.”

Examples of Digital Currency

- Mobile wallet balance
 - Online payment balance
 - Virtual money in apps
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- Nepal examples: eSewa balance, Khalti balance
- “You cannot touch it, but you trust it.”

Digital Currency vs Physical Currency

Physical Money

Can touch

Paper/coin

Can lose easily

Used offline

Digital Currency

Cannot touch

Electronic

Needs password

Needs technology

“Cash is like a book, digital currency is like an e-book.”

Why Did Digital Currency Emerge?

- Growth of internet
- Need for faster payments
- Increase in online business
- Global transactions

“Old money was too slow for the digital world.”

Problems with Traditional Money

- Carrying cash is risky
- Slow international transfer
- High transaction cost
- Limited banking access
- “Sending money abroad can take days.”

How Digital Currency Solves Problems

- Instant transfer
- Lower cost
- Easy tracking
- 24/7 availability

“Digital currency moves at internet speed.”

Key Characteristics

- Digital form only
- Requires technology
- Secure through encryption
- Traceable transactions

“It is protected by passwords and codes.”

How Digital Currency Works

1. User has digital wallet
2. Wallet stores digital balance
3. Payment sent via network
4. Receiver gets balance

Analogy: Like sending a message, but with money

Role of Technology

- Technologies involved:
- Internet
- Mobile devices
- Encryption
- Databases / blockchain (brief mention)

“Without technology, digital currency cannot exist.”

Trust in Digital Currency

- Trust comes from:
- Technology security
- Institutions (banks/government)
- Transparent systems

“We trust digital money because systems protect it.”

Digital Currency & Digital Economy

Connection:

- **Supports e-commerce:** Online businesses rely on digital currency to accept payments.
- **Enables online services:** Paying for streaming, rides, food, and courses is easy.
- **Encourages cashless society:** Less reliance on physical money reduces risks like theft.

“Online shopping works because digital payments exist.”

Risks & Concerns

Basic concerns:

- Cybercrime
- Hacking
- Digital literacy
- System failure

“Every new thing has risks.”

Daily Life Uses

Uses:

- Paying bills
- Online shopping
- Sending money
- Government services

Key Takeaways

- Digital currency is electronic money
- Emerged due to digital needs
- Faster and efficient
- Technology-driven
- Foundation for future finance